



EXCLUSIVE BUYER/TENANT AGENCY (REPRESENTATION) AGREEMENT

This is a legally binding agreement; if not understood, seek competent legal advice prior to signing.



BROKERAGE ORGANIZATION. _____ (hereafter referred to as "Broker")

BUYER/TENANT NAME & MAILING ADDRESS. (hereafter referred to as "Client")

Email Address: _____

Primary Phone: _____ Secondary Phone: _____

In consideration of the services to be performed by Broker, Client appoints Broker as Client's Exclusive Agent according to the terms of this Agreement.

1. **EFFECT OF EXCLUSIVE BUYER/TENANT AGENCY (REPRESENTATION) AGREEMENT (HEREAFTER REFERRED TO AS "AGREEMENT").** By appointing Broker as Client's Exclusive Agent, Client agrees to conduct all negotiations for Property through Broker, and to refer to Broker all inquiries received from real estate brokers, salespersons, prospective sellers, landlords, or any other source during the time this Agreement is in effect. **This is an Exclusive Agreement and Client may not enter into a Buyer/Tenant Agency (Representation) Agreement with another real estate Brokerage Organization during the term of this Agreement, unless otherwise noted in Section 18.** Client understands and agrees that the Compensation payable by Client to Broker under Section 9 of this Agreement shall be deemed earned by Broker and payable upon Client's purchase or lease of real property whether or not Broker was involved in the transaction leading to such purchase. For example, if Client enters into any agreement of sale/lease during the term of this Agreement on their own without Broker's assistance (such as through an open house, "For Sale By Owner", or with the assistance of any other Agent), upon settlement/possession, Client would still owe Broker the Compensation described under Section 9.
2. **ACQUISITION.** Broker shall assist Client in acquiring real property (hereafter referred to as "Property") for ☐ purchase and/or ☐ lease (check all applicable) within the county(ies) of _____, (Delaware statewide if blank) as indicated by Client signing an agreement of sale/lease (including option, exchange, lease or trade) that is accepted by a Seller/Landlord.
3. **EXPIRATION.** This Agreement will expire at 11:59pm _____. Should any Agreement of sale/lease ratified during the term of this Agreement not settle until after the Expiration date herein, any compensation due to Broker under this Agreement shall remain due to Broker no later than the date of final settlement/possession. Broker, in Broker's sole and absolute discretion, may terminate this Agreement at any time and effective immediately in the event Client provides any false information, misrepresents any fact to Broker or any third party, or otherwise breaches this Agreement.
4. **CANCELLATION.** Either party may cancel this Agreement upon _____ day(s) written notice after _____ day(s) from effective date.
5. **BROKER'S REPRESENTATIONS AND SERVICES.** Broker and/or Broker's Designated Agent(s) must, as specified in the Delaware Consumer Information Statement (CIS):
 - a) Comply with all applicable laws, including performing the duties required of him or her by the statute and rules and regulations of the Delaware Real Estate Commission.
 - b) Follow all other applicable laws, including laws governing fair housing and civil rights.
 - c) Perform as required by the terms of any written brokerage agreement.
 - d) Exercise reasonable skill and care as a broker or salesperson.
 - e) Advise you to obtain expert advice on material matters outside his or her expertise.
 - f) Account to you in a timely manner for all money and property received.
 - g) Help to inform the parties regarding the progress of the transaction.
 - h) Disclose adverse material facts or defects actually known by the broker or salesperson.
 - i) Put any compensation agreement in writing.

Client acknowledges Broker and Broker's Designated Agent(s) are being retained solely as a real estate agent and not as an attorney, tax advisor, lender, appraiser, surveyor, structural engineer, home inspector or other professional service provider. Client has been advised to seek professional advice concerning the condition of the property and legal and tax matters. Broker makes no warranties or representations regarding the value of, or the suitability of, any property for Client's purposes. Client agrees to be responsible for making all inspections and investigations necessary to satisfy Client as to the property's suitability and value. Broker recommends that any offer to purchase a property be conditioned on an inspection of the property and its improvements conducted by a licensed Home Inspector. Broker and its Designated Agent(s) have no expertise in these matters and Client is solely responsible for interviewing and selecting all inspectors.

6. **OTHER CLIENTS.** Other potential clients may be interested in the same property as Client. It is agreed that Broker and their Designated Agent(s) may represent those clients whether such representation arises prior to, during, or after the end of this

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Agreement. Delaware law allows licensed real estate agents to show the same property one client is interested in to one or more other clients. If two potential Clients represented by the same Designated Agent(s) want to make offers on the same property, Designated Agent(s) shall disclose the situation to each client. In such a situation, Broker and Designated Agent(s) will not disclose to either client the terms of the other's offer. If either client does not consent to continuing to work with the same Designated Agent(s), then Broker shall assign another licensed real estate agent to work as that Client's Designated Agent(s).

7. CLIENT'S RESPONSIBILITIES AND AUTHORIZATIONS. Under this Agreement, Client will:

- a) Furnish Broker with any and all personal and/or financial information reasonably necessary to assist Client's efforts to locate suitable Property.
- b) Consult with Broker prior to visiting open houses or "For Sale By Owner" properties and shall not contact other brokers or designated agents.
- c) Cooperate with Broker and shall be reasonably available.
- d) For properties not listed in the MLS, Client authorizes publication of Property and applicable disclosure attachments in the MLS after settlement occurs, and use of information for marketing, appraisal, and statistical purposes.
- e) Authorize Broker to share pertinent financial information with other parties or service providers as required during the course of negotiations and the transaction.
- f) Authorize Broker to place a Sold sign on the property once final settlement has occurred.

8. DISCLAIMERS AND LIMITATIONS.

- a) Client is advised that Seller/Landlord and/or their respective agent(s) might not treat the existence, terms, or conditions of offers as confidential unless confidentiality is required by an agreement between the parties.
- b) Client is further advised that properties shown to Client may be monitored by audio and/or video surveillance equipment and any discussion held at the property may not be confidential.
- c) Client is aware that Broker may not have knowledge of all properties that may be for sale/lease, nor existing offers, at any given time. Some brokerage organizations may have in-house (office exclusive) properties which are not available to other brokerage organizations. In addition, Client acknowledges that not all available properties are available on the MLS.
- d) Client is advised to contact Homeowner's/Rental Insurance companies to obtain information and quotes for coverage prior to their offer to purchase/lease.
- e) Some properties may require flood insurance. Client is advised to obtain information and quotes for coverage prior to their offer to purchase/lease.
- f) Client is advised to carefully review the Seller's Disclosure of Real Property Condition Report prior to making an offer.
- g) All properties are part of larger surrounding areas. Client is advised to research Federal, State and local governmental agencies' websites, and other sources, to become familiar with future anticipated development, global changes, climate changes, tax assessments and other similar things that may affect the property in the future.

9. COMPENSATION. Client acknowledges that there are not any standard Compensation rates and the Compensation in this Agreement is fully negotiable and not set by law, any Board or Association of REALTORS®, any multiple listing service (MLS), or in any manner other than as negotiated between Broker and Client. Client should discuss Compensation and the scope of services to be provided for such Compensation options with Broker or its Designated Agent(s). Brokers can set their own Compensation and fees based on what services are offered and their business model in the competitive marketplace.

A. Client shall pay Compensation as follows: (Select only one):

☐ Compensation of _____ (% of the gross selling price/lease amount OR flat fee) plus \$_____ for services rendered.

☐ Other: _____

The amount of Compensation reflected must be objectively ascertainable and may not be open-ended (Language such as, "Broker compensation shall be whatever amount the Seller/Landlord is offering to the Client" is prohibited)

Client may include in an agreement of sale/lease a request that the Seller/Landlord Compensate Broker all or a portion of Broker's agreed upon Compensation.

- B. Compensation may be offered from the listing broker or Seller/Landlord. In such an event the Compensation offered by the listing broker or Seller/Landlord shall be credited against the Compensation due from Client. Should any Compensation offered from the listing broker or Seller/Landlord be less than the Compensation due from Client, the Client shall be obligated to pay the difference. In the event the Compensation offered by the listing broker or Seller/Landlord exceeds the Compensation due from Client, the Broker shall only be entitled to the amount of Compensation due herein and any such excess shall benefit the Client only, unless otherwise mutually agreed upon in writing. Broker may not receive Compensation for brokerage services from any source that exceeds the amount or rate agreed to with the Client.
- C. Broker may bring available listings to the attention of Client, regardless of Seller/Landlords' offer of Compensation, or lack thereof.
- D. This Compensation shall be earned, due and payable if Client enters into an agreement of sale/lease for any property located within the geographic areas listed herein during the term of this Agreement, or any extensions

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thereof, upon settlement/possession.

- E. The Compensation shall also be due and payable upon settlement/possession if Client enters into an agreement of sale/lease for property located within the geographic areas listed herein within _____ days after expiration or cancellation of this Agreement, provided the property was introduced to Client by Broker during the term of this Agreement, or any extensions thereof.
- F. If not previously paid, the settlement attorney is hereby irrevocably authorized and directed to collect the Compensation as specified in this Agreement and pay the same to the Broker at final settlement as a convenience to the parties, and not as a limitation upon Clients' liability to pay the Compensation.
- G. If Client enters into an Agreement of sale/lease and that agreement fails to go to settlement/possession through no fault on the part of the Client, the Compensation provided in this Agreement shall be waived. If that Agreement of Sale/Lease fails to go to settlement/possession because of any fault or non-performance on the part of Client, the Compensation will not be waived, and will be due and payable immediately.
- H. Broker shall not receive Compensation in connection with this transaction from any other source unless otherwise specified and disclosed.

Other Compensation models may be negotiated in Section 18: Additional Terms of this Agreement or by a separate addendum attached hereto.

- 10. **DEPOSITS.** Client acknowledges that any deposit(s) placed on account of a ratified agreement of sale/lease shall be payable, held, and refundable in accordance with the provisions of the agreement of sale/lease or a separate written agreement signed by the parties.
- 11. **COSTS OF SERVICES OR PRODUCTS OBTAINED FROM OUTSIDE SOURCES.** Client agrees to promptly pay when payment is due for any and all products or services from outside sources obtained by Broker on Client's behalf, provided Client has previously authorized Broker to request such products or services. (Examples: surveys, home inspections, water tests, etc.).
- 12. **ASSIGNMENT OF CLIENT.** No assignment of Client's right under this Agreement and no assignment of rights in Property obtained for Client under this Agreement shall operate to defeat any of Broker's rights.
- 13. **EQUAL OPPORTUNITY.** Properties shall be shown and made available to Client without regard to RACE, COLOR, NATIONAL ORIGIN, RELIGION, CREED, SEX, MARITAL STATUS, FAMILIAL STATUS, AGE, SEXUAL ORIENTATION, GENDER IDENTITY, SOURCE OF INCOME, HANDICAP/DISABILITY, or any other protected classes, as may from time to time be added or amended by law.
- 14. **ARBITRATION, NOT CLASS ACTION LITIGATION.** ☐ Yes ☐ No (only applicable if checked Yes)
The laws of the State of Delaware govern this Agreement and its interpretation, without regard to the application of conflict of laws. The parties agree that it is their desire and agreement that any controversy arising out of or relating to this Agreement may be exclusively and confidentially resolved through two-party (not class-based) arbitration according to the provisions of the Delaware Uniform Arbitration Act as found in Title 10 Delaware Code Part IV Chapter 57, except that discovery may include no more than a single eight-hour deposition by each side and the exchange of documents that either side reasonably may use at the arbitration hearing. The arbitration hearing shall be conducted by a Delaware lawyer as a single arbitrator. The hearing shall occur in the State of Delaware within 12 months of serving the notice of intent to arbitrate. If the parties cannot agree on choosing the arbitrator, then an arbitrator shall be appointed according to the provisions of the Delaware Uniform Arbitration Act. Any injunctive relief may also be exclusively pursued before the same arbitrator. Each party waives any right to file an action in court, or to join any class or consolidated action against the other, for any controversy arising from this Agreement. The decisions of the arbitrator will be final and binding on all parties to the controversy, and judgment on the award rendered by the arbitrator may be enforced in court as provided in the Delaware Uniform Arbitration Act. The arbitrator has exclusive power to rule on their own jurisdiction, including the existence, scope, waiver, or validity of this arbitration agreement or to the arbitrability of any claim or counterclaim, and to determine the existence or validity of this Agreement, and for this purpose alone, this arbitration section will be treated as an agreement independent of the validity of this Agreement or its other terms. Each party understands that, in the absence of this Section, there would be a right to litigate disputes through a court, including the right to litigate claims on a class-wide or class-action basis, and that both parties have expressly and knowingly waived those rights and agreed to resolve any controversies through binding arbitration in accordance with the provisions of this Section. Link to Title 10 Delaware code: <https://delcode.delaware.gov/title10/c057/index.html>
- 15. **MODIFICATION OF AGREEMENT.** Modifications of this Agreement are binding only when put in writing and signed by all parties.
- 16. **INDEMNIFICATION OF BROKER and ATTORNEY'S FEES.** Client agrees to indemnify Broker and hold Broker harmless on account of any and all loss or damage arising out of this Agreement, provided Broker is not at fault, including but not limited to, attorney's fees and costs reasonably incurred by Broker in the case of litigation or arbitration.
- 17. **ENTIRE AGREEMENT.** This Agreement constitutes the entire agreement between the parties and any prior agreements, whether oral or written, are not of any effect unless set forth in this Agreement. This Agreement shall be governed by and shall be constructed and enforced in accordance with the laws of the State of Delaware. If any provision of this Agreement conflicts with applicable law, such conflict shall not affect any other provision of this Agreement.

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18. **ADDITIONAL TERMS AND CONDITIONS.**

19. **COUNTERPARTS AND MISCELLANEOUS.** If more than one person is named as a Client herein, this Agreement may be executed by each Client, individually, and when so executed, such copies taken together shall be deemed to be a full and complete agreement between the parties. Client agrees that if an additional Client is included in an offer, or a Client is added or substituted by an addendum to an agreement of sale/lease, then Client is still bound by the terms of this Agreement.
20. **ACKNOWLEDGEMENT.** Client acknowledges he/she has read, fully understands, and consents to this Buyer Agency (Representation) Agreement and acknowledges receipt of a copy. A facsimile, electronic record with electronic signature, or photocopy of a signed Agreement shall constitute an original.
21. **DELAWARE CONSUMER INFORMATION STATEMENT.** Client acknowledges that Broker or Designated Agent(s) have provided Client with a copy of, and Client has read and understands, the Delaware Consumer Information Statement, (CIS). The completed CIS is part of this Agreement. The Designated Agent shall act in conformity with the relationship described on the CIS. This shall include the Designated Agent being a Dual Agent unless excluded by the CIS.
22. **AGENCY RELATIONSHIP.** Broker appoints _____ (hereafter referred as "Designated Agent(s)") to represent Client. This Agreement creates an Agency Relationship with the Designated Agent(s) and Broker supervising the Designated Agent(s). Unless otherwise designated by Broker, no other agent(s) affiliated with Broker are agents of Client. Other agents of Broker may assist Designated Agent(s) as authorized by Broker.

IF YOU DO NOT UNDERSTAND ALL OF THE TERMS OF THIS DOCUMENT, SEEK COMPETENT LEGAL ADVICE BEFORE SIGNING.

Client		Date	
Client		Date	
Client		Date	
Client		Date	

Acceptance by Broker (or Authorized Representative) Date

This agreement is not binding until signed by all parties, including the Broker or their Authorized Representative.

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